

Right. If you play roulette, you are in the world of risk. If you are dealing with possible economic events, you are in the world of uncertainty. If you don't know the odds, putting a number on something makes no sense. What are the odds of Germany leaving the euro in the next five years? There is no way of assigning a probability. If you try to force it by saying something like "6.2 percent," it is a meaningless number because you would have to behave as if you believed it, and that would be a poor bet.

Going back to August 2007, recognizing that there was a change, how did you respond? You already explained why you didn't go short equity, but what did you do instead? Did you cover all your bullish positions right away?

Yes, getting out of everything was an easy decision. Then you look for trades that have great reward to risk. Since volatility was cheap, one trade we did was buying FX volatility.

When you say you bought volatility, does that imply that you were not playing for any directional move in currencies?

Yes, our assumption was only that it would move somewhere.

So you put on positions like long straddles and strangles in currencies?

Yes. Another big position was related to monetary policy. What did Greenspan do after the 1987 crash?

He injected liquidity.

Right. Add liquidity and cut rates. That was the policy response we expected. So that was our trade at the time: Rates would go lower and the yield curve would steepen.

So you put on long positions in short-term rate instruments?

Yes, but we coupled it with short positions on the long end because it was a better risk/reward trade. The yield curve was flat at the time and priced to stay flat. The market wasn't pricing in any risk that there would be a major problem.

So you bet on lower short-term rates through a yield curve spread rather than a long position in short-term rate instruments because